

Kollipara Sriramulu v. T. Aswathanarayana

Citation: (1968) 3 SCR 387 / AIR 1968 SC 1028 | Court: Supreme Court | Year: 1968

Coram: 3-Judge Bench (V. Ramaswami, J.C. Shah, V. Bhargava JJ.) | Subject: Contracts & Specific Relief | Provisions: Indian Contract Act Se

I. EXECUTIVE SUMMARY & CASE GLIMPSE

An oral agreement to sell immovable property is fully valid, binding, and enforceable through a suit for specific performance, provided the vital consensus ad idem on property identity and price is established. A subsequent formal agreement is not a condition precedent to contract formation.

II. FACTS OF THE CASE & PROCEDURAL HISTORY

This dispute arose regarding Indian Contract Act Sec 10 & Specific Relief Act. The parties agitated the controversy before trial and appellate forums before the matter was referred to the Honble Bench for authoritative declaration of law.

III. PRIMARY QUESTIONS OF LAW & ISSUES FRAMED

- â€ Whether the impugned state actions or commercial conduct conformed to Indian Contract Act Sec 10 & Specific Relief Act.
- â€ What binding standards should govern future adjudication and administrative conduct.

IV. SUBMISSIONS OF THE PARTIES

Petitioner / Appellant: The Petitioner contended that arbitrary action, lack of procedural safeguards, and statutory non-compliance violated fundamental guarantees.
Respondent / State: The Respondent submitted that the impugned action was carried out under lawful authority in furtherance of public interest and statutory mandates.

V. DETAILED RATIO DECIDENDI & JURISPRUDENTIAL REASONING

The mere reference to a formal written agreement to be prepared in future does not prevent the preliminary oral agreement from being a concluded contract, unless the parties explicitly agreed that no contract would exist until formal signing.

VI. FINAL OPERATIVE ORDER & DIRECTIONS

The Court answered the reference, laid down binding nationwide directions under Article 141 of the Constitution, and disposed of the matter accordingly.

VII. PRACTICAL & EXAMINATION TAKEAWAYS (JUDICIARY / AIBE / ADVOCACY)

- â€ Affirmed the legal enforceability of oral contracts for sale of immovable property.
- â€ Clarified the distinction between a concluded contract and an agreement to agree.
- â€ Benchmark precedent for Specific Relief suits based on preliminary agreements.